

**Time:** 5 minutes**Outcome:** Calculate surplus, deficit, and public saving with correct signs.**Difficulty:** ●○○ Beginner

Budget Accounting and Public Saving



THE CORE IDEA

Let T be net taxes (taxes minus transfers) and G government purchases. In simplified saving accounting, public saving is $T - G$: positive for a surplus, negative for a deficit. The deficit $G - T$ has the opposite sign. Published budgets may include broader outlays, such as interest payments; match revenue and spending categories before comparing balances.



HOW TO RECOGNIZE IT

- Revenue above spending: surplus and positive public saving.
- Spending above revenue: deficit and negative public saving.
- Equal revenue and spending: balanced budget and zero public saving.
- A deficit is a flow measured over a period; debt is an accumulated stock.



WATCH OUT

A \$40 deficit means public saving is -\$40 in this simplified accounting. Transfers are already deducted in net taxes; do not also count them as government purchases.



WORKED EXAMPLE: ONE BUDGET, TWO SIGN CONVENTIONS

Net tax revenue is \$520 billion and government purchases are \$560 billion. Public saving is $T - G = -\$40$ billion. The budget deficit is $G - T = +\$40$ billion. Both statements describe the same imbalance using opposite signs.



CHECK YOURSELF

If $T = \$680$ billion and $G = \$650$ billion, what are public saving and the budget balance?

**READY?**

Return to the game and master this concept.